

KalMydas

Whitepaper

Where Algorithmic Trading Meets Decentralized Technology

Version 1.2 - July 2026

Network: Base (mainnet, live since May 1, 2026) / Arbitrum Sepolia (testnet)

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Executive Summary

KalMydas is a decentralized algorithmic trading protocol built on Base (mainnet, live since May 1, 2026), with a testnet on Arbitrum Sepolia, bridging professional-grade quantitative trading and accessible DeFi results. The platform deploys five distinct XAUUSD (Gold) trading algorithms, each targeting a different risk-reward profile.

Unlike traditional token-emission protocols relying on unsustainable rates, KalMydas generates real results from trading gold markets. Each trade is recorded on-chain with a unique identifier, each fee distribution is verifiable on Basescan, and each pool's performance is displayed in real time.

The KAL token (capped supply: 10,000,000) is the governance and utility backbone of the ecosystem. Through the veKAL mechanism inspired by Curve Finance, long-term holders earn boosted LP rewards (up to 2.5x), weekly USDC fee sharing, and voting power over protocol parameters.

Core Principles

- Real performance, no emissions. Results come from trading, not inflationary rewards.
- Radical transparency. Every trade, fee, and distribution is verifiable on-chain.
- Zero Burn philosophy. No token is ever destroyed, all value recirculates into protocol-owned liquidity (POL).
- Resilience by design. Stress-tested across extreme scenarios in long simulations.
- Progressive decentralization. From founding team to full community governance via veKAL.

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The Problem

Most DeFi protocols generate results via token emissions, creating a circular dependency. When emissions drop, deposit flight triggers death spirals. DeFi needs protocols that generate results from external sources.

Professional algorithmic trading has historically been the domain of hedge funds. KalMydas democratizes access to institutional-grade gold trading algorithms.

Even in DeFi, many protocols operate as black boxes. Users have no visibility into how results are generated. KalMydas solves this with full on-chain transparency.

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The KalMydas Solution

KalMydas bridges centralized algorithmic trading and decentralized DeFi infrastructure. The platform runs five distinct Gold (XAUUSD) trading algorithms on MetaTrader 4. Results are reported on-chain daily by a permissioned oracle.

The 5-Step Flow

- Access. Acquire an Access Pass (soulbound NFT) to unlock deposits. Four tiers: Bronze, Silver, Gold, Diamond.
- Deposit. Deposit USDC into one or more of the five strategy pools.
- Trading. Algorithms trade XAUUSD 24/5. An operator reports results daily.
- Distribution. Fees distributed automatically: 35% reserve, 20% POL, 15% LP, 10% veKAL, 10% founder, 5% pool, 5% RWA.
- Compound or withdraw. Withdraw anytime or use the automatic vault (ERC-4626).

4 Trading Strategies

Five distinct XAUUSD algorithms run on MetaTrader 4 and report results on-chain via a permissioned oracle. Each strategy targets a different risk-reward profile. The metrics below come from historical simulations.

Comparative metrics

Algorithm	Profile	T F	Direction	PF	Max DD	Win	Trades	CAGR	Fees	Bonus
HORIZON	Conservative	H 4	Long only	1.31	-46.01%	21.49%	1,098	4.15%	~1.2/10%	+5%
VALKYRIE	Balanced	D 1	Two-way	2.30	-59.14%	46.81%	329	12.49%	~2.4/20%	+3%
REVOLUTION	Dynamic	H 1	Two-way	1.11	-63.66%	35.00%	2,166	24.43%	~6/20%	+2%
TREASURY	Aggressive	H 1	Two-way	1.35	-70.26%	38.18%	1,815	33.05%	~6/20%	+2%
ORION	High Risk	H 4	Two-way	1.65	-58.45%	64.88%	800	78.99%	0/20%	+2%

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KAL Token Economics

KAL is an ERC-20 utility token with a supply capped at 10,000,000 units, an immutable hard cap written into the contract. The programmed emission of current contracts totals roughly 2,650,000 KAL, spread out by a Bitcoin-inspired halving. The remaining 7,350,000 form an unallocated reserve, never emitted without an explicit multisig decision.

Supply distribution

Allocation	Quantity	Share	Mechanism
KAL staking rewards	1,500,000 KAL	15%	Halving 25 epochs, capped emission rate
Presale (10 tiers)	500,000 KAL	5%	Mint on purchase, on-chain cap
Bonding curve	450,000 KAL	4.5%	Halving 25 epochs, paused since July 6, 2026
Liquidity rewards (LP)	150,000 KAL	1.5%	Halving 25 epochs, 3 pools weighted 50/30/20
Community airdrop	50,000 KAL	0.5%	One-time distribution
Unallocated reserve	7,350,000 KAL	73.5%	Free ceiling, never emitted without a multisig vote

No share is reserved for the team, foundation, or subscribers. Team allocation is zero percent.

Conditional presale, Pattern A (10 tiers)

Base mainnet has been live since May 1, 2026. The presale unfolds in three phases: Alpha from May 8, 2026 (tier 0, OG codes, after live algorithm validation), Beta in June 2026 (tiers 1 to 3), Public on September 14, 2026 (tiers 4 to 9, open to all). Public opening is gated by a viability threshold of 100,000 USDC raised on Alpha plus Beta by August 31, 2026. Otherwise, postponement or staged opening, with no personal capital committed. Contract hard cap: 500,000 KAL (5% of supply). Maximum raise: about 1,510,000 USDC.

Tier	Name	Price	Allocation	Bonus
0	SEED	\$0.30	50,000 KAL	+20%
1	STRATEGIC	\$0.50	50,000 KAL	+10%
2	COMMUNITY	\$0.70	50,000 KAL	+5%
3	PUBLIC	\$1.50	50,000 KAL	-
4	PUBLIC+	\$2.50	50,000 KAL	-
5	GROWTH	\$3.50	50,000 KAL	-
6	GROWTH+	\$4.50	50,000 KAL	-
7	PREMIUM	\$5.50	50,000 KAL	-
8	PREMIUM+	\$6.00	50,000 KAL	-
9	FINAL	\$8.00	32,500 KAL	-

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veKAL: Vote-Escrowed Governance

Users lock KAL tokens for a duration between 1 week and 4 years to receive non-transferable veKAL. Formula: $\text{veKAL} = \text{KAL locked} \times (\text{time remaining} / 4 \text{ years})$. veKAL mints no KAL, it is a pure locking contract.

Four utilities

- Governance voting. 1 veKAL equals 1 vote on protocol proposals.
- LP boost. Up to 2.5x on liquidity rewards.
- Fee sharing. Weekly USDC from performance fees.
- Fee reduction. Up to -30% on the Access Pass.

Governance details: proposal threshold 1% of total veKAL, quorum 10%, voting 3 days, timelock 48h, grace period 7 days. Early-locker bonus: 3x on weeks 1 to 4, 2x on 5 to 12, 1.5x on 13 to 26.

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Fee Architecture

The KalFeeSplitV7 contract automatically distributes performance fees across seven destinations with a fixed split. Every distribution is on-chain and verifiable on Basescan.

Destination	Share	Description
Reserve	35%	Safety buffer, reinjected into pool capital
Protocol-owned liquidity (POL)	20%	KAL buyback then added to liquidity, never burned
LP rewards	15%	KAL bonus to liquidity providers
veKAL fee sharing	10%	Weekly USDC to veKAL holders
Founder	10%	Team compensation, in USDC
Pool rewards	5%	Loyalty bonus to depositors
RWA treasury	5%	Tokenized real-world assets (gold, bitcoin, T-bills)

Contract cap: 50% maximum of gross performance. Monthly management fees split 50% founder, 50% POL, capped at 5% per month.

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Access Pass

The KalAccessPassV5 is a soulbound (non-transferable) NFT required to deposit. Paying in KAL grants a 30% discount. Four tiers: Bronze (\$1.00/day), Silver (\$1.50, -5% perf), Gold (\$2.50, -10% perf), Diamond (\$5.00, -15% perf, veKAL boost 1.5x).

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Referral Program

Qualification: active Access Pass, minimum deposit of 100 USDC, and 30 days of activity. Linear vesting over 4 months. Annual budget capped at 2% of total supply. Three ranks: Starter (up to 9 referrals, 50 KAL), Ambassador (10 to 24 qualified, 75 KAL), Champion (25 and up, 100 KAL).

10 Risk Management

KalMydas implements several layers of automatic protection against underperformance or inactivity.

- Rainy Day Fund. USDC reserve (capped at \$60,000) funded by 5% of fees. Automatic buyback after two consecutive negative months.
- Capital Manager. Real-time monitoring of pool health and automatic rebalancing.
- Yield Diversifier. If the bot is inactive over 7 days, 50% of assets is redirected to Aave or Compound.
- RWA Treasury. 5% of fees into tokenized T-bills, yield independent of the crypto market.

11 Security and Audit

Independent final retest validated on April 22, 2026 by Omniscient Security Labs (PASS, technical blockers cleared), followed on April 25 by a third consecutive PASS on the KalPool individual pause function. 27 Solidity contracts audited (Omniscient external, KalMydas Labs internal, and peripheral audit), 23 distinct plus 5 KalPool instances. Over 300,000 interactions tested (Hardhat and Foundry). 33 findings addressed. Audit policy for mainnet: Omniscient Labs as sole vendor.

Protection layers

- Reentrancy guard on all contracts
- SafeERC20 for all transfers
- Emergency pausable, 24-48h operator timelock
- Full anti-MEV protection (minOut and off-chain deadline)
- veKAL temporal checkpoints (anti flash-loan)
- Soulbound LP tokens, O(1) circuit breaker
- Temporal voting-power decay (Curve model), per-operator withdrawal limit

Phase	Period	Milestones	Status
Phase 1	Q1 2026	veKAL, FeeDistributor, tests	DONE
Phase 2	Q1 2026	Governance, referral, auto vault, Zero Burn, RWA	DONE
Phase 3	Q1 2026	Frontend, wallet, on-chain data, router	DONE
Phase 4	Apr. 2026	Omniscient audit PASS, fuzz, redeployment	DONE
Phase 5	May 1, 2026	Base mainnet deployment, platform opening	LIVE
Phase 6	May 8 - Sep 14	3-phase presale, Pattern A, 100K USDC gate by Aug 31	ONGOING

Disclaimer

This document is provided for informational purposes only and does not constitute financial advice. The KAL token is a utility token. Participation involves significant risks, including the potential loss of all deposited assets. Historical simulations over 11 to 21 years of XAUUSD data; live execution may produce different results. Past performance does not guarantee future results.